Nov 2026 attempt

Ind AS 32 & 109 — Financial Instruments

Condensed from ICAI SM Chapter 11 (Units 1–7) for revision. Exam focus last 3 attempts: **compound instruments** (10-mark Q every attempt + MCQs) · **amortised cost / EIR with transaction costs** · **loan refinancing & modification** · **interest-free loans to subsidiaries** · **fixed-for-fixed** on own shares · FX loans at amortised cost.

① The three definitions — one table

Ind AS 32.11

	Financial asset	Financial liability	Equity instrument
1	Cash	—	Residual interest in assets after all liabilities
2	Equity instrument of **another** entity	—	—
3	Contractual **right to receive** cash / FA, or to exchange FA/FL on **potentially favourable** terms	Contractual **obligation to deliver** cash / FA, or to exchange on **potentially unfavourable** terms	**No** contractual obligation to deliver cash or exchange on unfavourable terms
4	Contract settled in **own** equity: non-derivative → **receive variable** number; derivative → **not** fixed-for-fixed	Contract settled in **own** equity: non-derivative → **deliver variable** number; derivative → **not** fixed-for-fixed	Settled in own equity: non-derivative → **fixed number**; derivative → **fixed cash for fixed number** (fixed-for-fixed)

Two tests for equity (Ind AS 32.16) — both must pass: **(a) no obligation to pay cash** · **(b) if settled in own shares → fixed-for-fixed**. Fail either → liability (or a liability component).

- **Contract** needed — need not be written. **Not financial**: income tax (statutory), constructive obligations (Ind AS 37), PPE, inventory, ROU assets, intangibles, **prepaid expenses and advances for goods/services** (benefit is goods/services, not cash), deferred revenue, most warranties.
- Contingent rights/obligations (e.g. **financial guarantee**) are financial instruments — a financial guarantee is **not** a contingent liability disclosure (Ind AS 37 excludes Ind AS 109 items).
- **Carve-out:** foreign-currency variability is **ignored** in classifying an FCCB — conversion into a fixed number of shares for a fixed amount in **any currency** can still be equity.
- **Rights issue carve-in:** rights/options/warrants for a fixed number of own shares for a fixed amount of **any currency**, offered **pro rata** to all existing owners of that class → **equity**.
- Ordinary share dividend → liability only when **approved by shareholders (AGM)**; a board proposal creates no obligation.

Preference shares — the classification table (SM)

Terms	Classification (issuer)
Redeemable on a **fixed date** or at **holder's option**	**Financial liability — inability to pay (no funds, no profits, legal limit) does not negate the obligation**
Redeemable at **issuer's option**	**Equity — becomes a liability when the issuer notifies its intention to redeem**
Irredeemable, dividend at issuer's **discretion** (cumulative or not)	**Equity — history of paying, intention, share-price impact, reserves, expected profits are irrelevant**
Irredeemable, dividend **mandatory** (no right to defer)	**Compound** — liability = PV of dividends; equity = rest
Redeemable + discretionary dividend	Liability for the **redemption amount** only; dividends equity when declared

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Illus. 3: perpetual bond, 8% forever, redeemable only at issuer's option/liquidation → holder: FA; issuer: ICAI treats as **compound** (para 28) — interest stream is the obligation. **Illus. 5:** loan rescheduled to one-time 13,00,000 vs 12,54,400 due → extra 45,600 = exchange on **unfavourable** terms → FL. **Illus. 6:** irredeemable pref. (₹10 + ₹90 premium), 8% dividend only if equity dividend declared → **equity**. **Illus. 7:** CCPS converting 1:1, discretionary dividend → **equity**. **Illus. 8:** loan settled by shares **worth ₹10 lakh** (variable number) → shares used as currency → **FL**.

② Scope — what Ind AS 109 / 32 do NOT cover Ind AS 109.2

Excluded item	Goes to
Interests in subsidiaries, associates, JVs (Ind AS 110/27/28) — but derivatives on them are in scope unless own equity	Ind AS 27/28/110
Leases — **except**: lessor's lease receivables (derecognition + impairment), lessee's lease liability (derecognition), embedded derivatives	Ind AS 116
Employee benefit plans	Ind AS 19
Insurance contracts (financial guarantees are in scope unless issuer elected insurance accounting)	Ind AS 117
Forward to buy/sell an acquiree for a business combination (reasonable period)	Ind AS 103
Loan commitments — **except** those designated FVTPL, net-settled ones (derivatives), and below-market-rate commitments	Impairment and derecognition still apply
Share-based payments	Ind AS 102
Reimbursement rights for Ind AS 37 provisions	Ind AS 37
Rights/obligations under Ind AS 115 (except as Ind AS 115 says, e.g. receivables)	Ind AS 115

Own-use exemption — contracts for non-financial items 109.2.4-2.7

- → A contract to buy/sell a non-financial item that **can be settled net** is treated like a derivative — **unless** entered into and held for the entity's **expected purchase, sale or usage** (own use) → executory contract, outside Ind AS 109.
- → "Settled net" includes: terms allow net settlement · **practice** of net-settling similar contracts · **practice** of taking delivery and selling quickly for trading profit · item **readily convertible to cash**.
- → May irrevocably **designate FVTPL** at inception if it removes an accounting mismatch. **Written options** that can be net settled are never own use.
- → **Example 4:** buy 100 t cocoa at 1,000 for delivery in 12 months, can't be net settled, for own use → **not a derivative** even though market moves to 1,500.

③ Liability or equity — the decision path Ind AS 32.15–22

1. Is there a **contractual** obligation? No → not a financial instrument (other Ind AS).
2. Obligation to **deliver cash / FA** that the issuer **can't unconditionally avoid**? → **Liability** (even if amount tied to an index; even if indirect).
3. Obligation to **exchange** on **potentially unfavourable** terms? → **Liability**. (Ex. 1: written call at ₹100 settled net; share at ₹110 → issuer pays ₹10 → liability.)
4. Settled in **own shares** — is **either** the consideration **or** the number of shares variable? Yes → **liability**. Both fixed → **equity**.

→ Classify from the **issuer's** view, **component by component**, on **substance** — but substance never overrides the contract, and the contract can't override law in force (ignore expected future changes in law).

→ **Can't avoid = liability** even if: lack of funds, insufficient profits, need for regulatory/forex approval (Illus. 4).

→ Issuer's alternative is to transfer a **non-financial asset** worth much more (Illus. 6: a building) → still **liability** — it can avoid cash only by settling the non-financial obligation.

Fixed-for-fixed test — the 4 boxes

Consideration	No. of own shares	Result
Fixed	Variable	**Liability — shares used as currency (Illus. 8, 12, 13)**
Fixed	Fixed	**Equity — fixed-for-fixed (Illus. 14: ₹100 cr → 15 cr shares)**
Variable	Fixed	**Liability — holder exposed to variability (Illus. 16, 17)**
Variable	Variable	**Liability**

Conversion ratio changes because…	Fixed-for-fixed?
Passage of time only (1:1 → 1.5:1 → 2:1 by date) — Illus. 18	**Yes — equity**
Anti-dilution for **splits / bonus issues** (protects holder vs other shareholders) — Illus. 19	**Yes — equity**
Down-round protection — compensates if later shares issued below ₹10 (underwrites return) — Illus. 20	**No — liability**
Converts at FV within a band (stake 15%–40%) — Illus. 21	**No — liability**
Independent events in different periods (each a separate fixed contract) — Illus. 22	**Yes — equity**
Inter-dependent valuation-linked events (EV 100/150/200m) — one contract — Illus. 23	**No — liability**
Written option: fixed shares at fixed ₹50 (premium ₹2) — Illus. 15	**Equity; premium credited to equity, no FV changes. Price linked to index → derivative liability at FVTPL**

- → **Settlement options** (32.26): a derivative giving **either party a choice** of settlement is an FA/FL **unless all** alternatives would be equity (e.g. option issuer can settle net in cash or gross in shares → liability).
- → **Obligation to buy own shares** (32.23): forward/written put to repurchase own shares for cash → **liability for PV of redemption amount**, even if fixed-for-fixed.
- → **FCCB carve-out:** USD 100 bond → 1,000 shares: conversion option is **equity** (fixed in any currency); the 6% coupon is a liability → **compound** (Illus. 24). IFRS: derivative liability.
- → **Contingent settlement** (event outside both parties' control): **liability** — unless the liability feature is **not genuine**, or cash payable **only on liquidation**, or the puttable/liquidation exception applies. Event within issuer's control → equity.
- → **Group view (CFS):** a parent's guarantee or put given to holders of a subsidiary's instrument → **liability in the consolidated FS**, even if equity in the subsidiary's own FS (written puts over NCI).

Puttable instruments & obligations only on liquidation — exception (32.16A–D)

Normally liabilities (mutual fund units, limited-life SPVs), but **equity** if: (1) **pro rata share of net assets on liquidation** (no cap — Illus. 7: Class B capped at ₹1 crore → not equity) · (2) in the **most subordinate class** (Illus. 8: manager's token units ranking last → equity; other units → liability) · (3) all instruments in that class have **identical features** (Illus. 9: different voting rights → neither is equity) · (4) **no other obligation** to pay cash or deliver variable shares (Illus. 10: extra conversion into variable shares → fails) · (5) cash flows based substantially on **profit, change in net assets or FV of net assets** · (6) issuer has **no other contract** with the holder that substantially fixes/restricts their return (Illus. 11: management contract for 50% of profit vs market 4–6% → fails). **Puttables: 1–6. Liquidation-only: 1–3 and 6.** Reclassify when conditions start/stop: liability → equity at **carrying amount**; equity → liability at **FV**, difference in equity.

④ Compound instruments — split accounting

Ind AS 32.28–32 · AG30–AG35

Step 1 — Liability component = PV of contractual cash flows (interest + principal / redemption premium), **ignoring conversion**, at the **market rate for a similar instrument without the conversion option**.

Step 2 — Equity component = Proceeds (FV of whole instrument) − Liability. **Residual**, never remeasured. No day-1 gain/loss.

Step 3 — Transaction costs → split **in proportion to the allocation of proceeds**; liability share goes into EIR, equity share deducted from equity.

Step 4 — Each year: finance cost = opening liability × **market rate (EIR)** → P&L; liability = opening + finance cost − coupon paid. It accretes to the redemption amount.

Other embedded derivatives (issuer's call / prepayment option) → included in the **liability** component, not equity.

SM	Facts	Split
Illus. 28	Perpetual loan ₹12 lakh, 8% mandatory interest; market 12%	Liability = 96,000 ÷ 12% = **8,00,000**; equity **4,00,000** (perpetual principal)
Illus. 29	OCRPS ₹10 lakh, 6% p.a., convert anytime (fixed) or redeem in 3 years; market 9%	PV principal 7,72,183 + PV interest 1,51,878 = **9,24,061**; equity **75,939**
Illus. 30	₹10 lakh, coupon RBI base + 1% (=10%), market base + 4% (=13%), 3 years	6,93,050 + 2,36,115 = **9,29,165**; equity **70,835**

Illus. 32 schedule (₹)	Cash flow	Finance cost @9%	Liability
1 Jul 20X1	10,00,000	—	9,24,061
30 Jun 20X2	(60,000)	83,165	9,47,226
30 Jun 20X3	(60,000)	85,250	9,72,476
30 Jun 20X4	(10,60,000)	87,524	—

Later events

- → ***Likelihood of conversion changes → no reclassification.***
- → ***Conversion at maturity*** *→ transfer liability to equity; original equity component stays in equity (may move between lines);* ***no gain/loss.***
- → ***Early redemption / repurchase*** *(conversion terms unchanged): split the* ***payment*** *the same way as at issue, using the* ***current market rate*** *at settlement → liability part vs its carrying amount →* ***P&L****; rest →* ***equity.***
- → ***Induced conversion*** *(sweetened terms before a date): FV of what holder gets under new terms − FV under original terms →* ***loss in P&L*** *at amendment date.*

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Illus. 32 — early redemption: *on 30 Jun 20X3 D pays ₹11 lakh; a 1-year straight instrument would now cost 5%. Liability FV = 10,00,000/1.05 (9,52,381) + 60,000/1.05 (57,142) =* ***10,09,523*** *vs carrying 9,72,476 →* ***loss 37,047 to P&L****; equity part 11,00,000 − 10,09,523 =* ***90,477*** *→ equity.*

5 Treasury shares · distributions · transaction costs · offsetting

32.33–50

Item	Rule
Treasury shares	Cost ***deducted from equity***; never an asset; no P&L on buy/sell/cancel. In CFS, shares held by group members deducted too. Held as agent for clients → not in balance sheet.
Interest / dividends / gains	On a ***liability*** (or component) → ***P&L*** (dividend on a liability-classified preference share = finance cost). On ***equity*** → directly in ***equity***. FV changes of own equity not recognised.
Transaction costs	Equity issue → ***deduct from equity*** (incremental, directly attributable; abandoned issue → expense). Liability → in ***EIR***. Compound → ***pro rata*** to proceeds split. Tax on these → Ind AS 12.
Offsetting (32.42)	Only if ***both***: (a) ***currently legally enforceable right*** — not contingent on a future event, enforceable in normal course, default ***and*** insolvency of all parties; and (b) ***intention*** to settle net or simultaneously (gross settlement with insignificant credit/liquidity risk in one cycle counts). Not for: synthetic instruments (floating loan + swap), same-risk derivatives with different counterparties, collateral for non-recourse debt, sinking funds, insurance recoveries.

	Financial liability	Equity
Remeasured?	Yes — Ind AS 109	No
Interest / dividends / gains	P&L	Retained earnings
Transaction costs	In EIR, amortised	Deducted from equity

⑥ Classifying a financial asset — the 2 tests Ind AS 109.4.1

Step 1 — What is it? *Derivative → **FVTPL** (unless hedging instrument). Equity share → **FVTPL**, or irrevocable **FVOCI election** if not held for trading. Debt → go to Step 2.*

Step 2 — SPPI test *(instrument level): are cash flows **solely payments of principal and interest** on principal outstanding? Fail → **FVTPL**.*

Step 3 — Business model test *(portfolio level, set by KMP): **Hold to collect** → **Amortised cost** · **Collect and sell** → **FVOCI (debt, with recycling)** · **Other** (trading, managed on FV) → **FVTPL**.*

***Step 4 — FV option**: AC / FVOCI debt may be irrevocably **designated FVTPL** at initial recognition only if it removes or significantly reduces an **accounting mismatch**.*

Business model	What it looks like (SM)
Hold to collect	*Sales **infrequent** or **insignificant** in value, or due to **credit deterioration** (Illus. 1), or close to maturity. Selling more in one year ≠ change of model and ≠ prior-period error (Illus. 12–13). Sales forced by a **stress case** don't count (Illus. 6), but **regulator-forced significant sales** → not HTC.*
Collect & sell	*Both are **integral** — e.g. liquidity management, matching asset duration to liabilities (Illus. 4); govt bonds likely sold for liquidity needs (Illus. 19).*
Other / FVTPL	*Held for trading; managed and evaluated on **fair value** basis; collection only incidental.*

- → *Evidence of BM: how performance is **evaluated and reported to KMP**, the **risks** and how they're managed, how **managers are paid** (FV-based or cash-flow-based).*
- → ***Securitisation (Illus. 5):** loans sold to an SPV that the group consolidates → in **CFS** still hold to collect; in the transferor's **separate FS** → not HTC if sale derecognises.*

SPPI — passes vs fails

Passes SPPI	Fails SPPI (→ FVTPL)
*Interest = **time value** + **credit risk** + liquidity/other lending risk + costs + profit margin (principal = FV at initial recognition)*	*Exposure to **equity or commodity prices**, **leverage** (e.g. options, forwards, swaps)*
Inflation-linked, unleveraged, in the instrument's currency (Illus. 7)	***Convertible bond** — holder's return linked to equity (Illus. 8); **OCPS** convertible 1:1 or redeemable at 20% premium (Illus. 24)*
***Prepayment** at unpaid principal + interest + reasonable compensation; **negative compensation** OK if FV of prepayment feature is insignificant at recognition*	***Deferred interest** with no interest-on-interest (Illus. 9)*
*Floating with a **cap** (Illus. 16); full-recourse loan with **collateral** (Illus. 10)*	***Inverse floater** — rate moves opposite to market (Illus. 11)*
***Interest-free loan to subsidiary** — on demand or fixed term (Illus. 14–15); trade receivables (Illus. 17); **security deposit** (Illus. 18)*	*Equity shares, mutual-fund units (no contractual P&I)*

Category	Interest / dividend	FV changes	On sale	ECL?
Amortised cost	*EIR → P&L*	*Not recognised*	*Gain/loss → P&L*	*Yes*
FVOCI — debt	*EIR → P&L*	*OCI*	***Recycled** to P&L*	*Yes (allowance in OCI, not on asset)*
FVOCI — equity	*Dividend → P&L*	*OCI*	***Never recycled** (may move within equity)*	*No*
FVTPL	*P&L*	*P&L*	*P&L*	*No*

⑦ Measurement — initial, EIR, transaction costs 109.5.1 · B5.4

Point	Rule
Initial measurement	***Fair value** (normally transaction price) **± transaction costs** — except **FVTPL** (costs expensed: Illus. 26, ₹500 → P&L) and trade receivables without significant financing (transaction price under Ind AS 115).*
Off-market terms	*FV = PV of future cash flows at **market rate**. Difference: FV is Level 1 / only observable data → **P&L day 1**; any other basis → **deferred** (asset if it qualifies, else amortised).*
Transaction costs	***Incremental** and directly attributable: agents' fees, advisers, brokers, levies, transfer duties. **Not**: premiums/discounts, financing costs, internal admin or holding costs.*
*Fees **in** EIR*	*Origination / processing fee · commitment fee where the loan is **probable** (if it lapses → revenue on expiry) · fees paid on issuing a liability at AC.*
*Fees **not** in EIR*	*Loan **servicing** fee · commitment fee where loan **unlikely** · **syndication** fee when no part retained (or retained at same EIR).*
Floating rate	*Re-estimating cash flows changes the EIR; if recognised at par, no significant effect — interest at current market rate.*
Change in estimated cash flows	*Recompute gross carrying amount = PV of revised cash flows at **original EIR**; difference → **P&L** (catch-up). Not for renegotiation of terms.*
Unquoted equity	***Cost** may approximate FV only in limited cases (no recent info / wide range). Never for **quoted** equity. Watch indicators: performance vs budget, market changes, fraud, fresh issues.*

*EIR in one line: the rate that discounts **all** future cash flows to the **net** amount on day 1 (loan − processing fee). Exam: interpolate between two rates.*

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***Illus. 31 (loan, books of borrower):** ₹10,000 at 10%, fee 500, bullet in 5 years. Initial = **9,500**. PV @10% = 10,000; @13% = 8,945 → EIR = 10% + 3% × 500/1,055 = **11.42%**. Year 1: 9,500 + 1,085 − 1,000 = 9,585 → 9,679 → 9,785 → 9,902 → nil (yr-5 interest 1,098 rounding). **Illus. 20:** 1% fee on ₹10 lakh / ₹8 lakh → initial 9,90,000 / 7,92,000; EIR above coupon. **Illus. 22 (FVOCI):** bought 100 + commission 2 = 102; FV next day 100 → loss 2 in OCI (ignore selling cost 3).*

Interest-free loans & deposits — the exam favourite

Situation	Measurement	Day-1 difference goes to
Repayable on demand	FV = **face value** (Ind AS 113.47 — can't be less than amount payable on demand). No interest accrues.	None
Fixed term (Illus. 28b: ₹10 lakh, 3 yrs, 10%)	PV = **7,51,315**; unwind 75,131 / 82,645 / 90,909 → 10,00,000	Parent: **deemed investment in sub** 2,48,685 · Sub: **equity (capital contribution)** 2,48,685
When funds available (Illus. 28c / 23)	Not on demand → **estimate repayment date** (e.g. from expected dividends) and discount at market rate	From shareholder → **equity contribution** in investee; **investment** in shareholder's books
Security deposit under lease (Illus. 25: ₹10 lakh, 5 yrs, 12%)	PV = **5,67,427**; interest yr 1 = 68,091 … yr 5 = 1,07,143	**ROU asset / prepaid rent** 4,32,573 — depreciated SL (Illus. 21: 10,000 → 8,163; 1,837 prepaid rent)
Below-market loan to get cheap goods/services	FV at market rate	Asset (prepayment) if it qualifies, else P&L

- → **CFS:** intra-group loan, interest and deemed investment all **eliminate** — no impact. But if the loan is in **foreign currency**, the exchange difference stays in P&L (Ind AS 21).
- → Entries (Illus. 28b, parent): Loan to sub Dr 7,51,315 · Deemed investment Dr 2,48,685 · To Bank 10,00,000. Each year: Loan Dr / Interest income Cr.

Journal pattern — equity investments

- → **FVTPL (Illus. 26):** buy 10,000 + cost 500 → asset 10,000, cost 500 → P&L; FV 11,200 → gain 1,200 P&L.
- → **FVOCI election (Illus. 27):** 10,000 shares for 5,00,000; FV ₹45 → loss 50,000 to **OCI (items not reclassified)** → equity investment FV reserve.

⑧ Financial liabilities — classification & measurement 109.4.2 · 5.3

Category	Includes / measurement
Amortised cost (default)	Borrowings, trade payables (Illus. 29 — price per tonne is FV; interest only if paid late), debentures. EIR → P&L.
FVTPL — mandatory	**Held for trading**: derivatives (not hedges), short sales (deliver borrowed securities), debt to repurchase near term, short-term profit portfolios · **contingent consideration** of acquirer (Ind AS 103). A loan merely **funding** trading is not HFT.
FVTPL — designated	(i) removes accounting **mismatch** (Illus. 30: fixed-rate assets funded by fixed-rate debentures → both FVTPL) or (ii) group **managed on FV** basis and reported so to KMP.
Special basis	Transfers that fail derecognition / continuing involvement · **Financial guarantees** & below-market loan commitments: **higher of** (ECL allowance) and (initial amount − cumulative Ind AS 115 income).

- → **Designated FVTPL liability:** FV change due to **own credit risk** → **OCI** (never recycled), rest → P&L; all in P&L if OCI would create a mismatch.
- → **Financial liabilities can never be reclassified.**
- → Shares held as **stock-in-trade** by a broker → Ind AS 109/32/107, not Ind AS 2 (Illus. 35).

Modification, refinancing & processing fees

10% test: PV of **new** cash flows (incl. fees paid net of fees received, only between borrower and lender) discounted at the **original EIR** vs PV of **remaining old** cash flows (also at original EIR). Difference ≥ **10%** → substantial.

Substantial → extinguishment: derecognise old (with its **unamortised fees**), recognise new at **FV**; new EIR on revised terms; costs/fees → part of **gain/loss on extinguishment** (P&L).

Not substantial → modification: revised cash flows discounted at **original EIR**; difference → **P&L** now; costs/fees **adjust the carrying amount** and amortise over remaining term.

Refinancing (Illus. 34) — Bank A loan taken over by Bank B	Treatment
Prepayment premium paid to Bank A	**P&L** — part of loss on extinguishment of the old loan
Unamortised processing fee of old loan	**P&L** — it was inside the old loan's carrying amount
Processing fee for new Bank B loan	**Transaction cost** of the new loan → deduct, include in **EIR**
Fee for undisbursed tranches (Illus. 33)	Drawdown **probable** → defer, deduct when drawn, into EIR · **not probable** → expense SL over loan term

⑨ Reclassification 109.4.4 · 5.6

- → Financial **assets only**, and only when the **business model changes** — very rare, decided by senior management, significant, demonstrable (start/stop a business line: acquire a loan-servicing company; shut a mortgage business). **Prospective** from the **first day of the next reporting period**; no restatement.
- → **Not** a change: intention on particular assets, temporary disappearance of a market, transfer between divisions. **Not** reclassifications: start/stop of cash-flow / net-investment hedge, credit-derivative FV designation.

From → To	On reclassification date (bond 1,00,000, FV 90,000)
AC → FVTPL	Measure at FV; difference 10,000 → **P&L**
AC → FVOCI	Measure at FV; difference 10,000 → **OCI**; EIR and ECL unchanged
FVTPL → AC	FV becomes new **gross carrying amount**; new EIR on that FV
FVTPL → FVOCI	Stays at FV; EIR set on FV at reclassification date
FVOCI → AC	Reverse cumulative OCI **against the asset** → as if always at AC (1,00,000); no P&L; EIR and ECL unchanged
FVOCI → FVTPL	Stays at FV; cumulative OCI loss 10,000 **recycled to P&L**

⑩ Impairment — expected credit loss (ECL) 109.5.5

ECL applies to	ECL does NOT apply to
Debt at **AC** · debt at **FVOCI** · lease receivables · contract assets · loan commitments · financial guarantees	**Equity** instruments (FVTPL or FVOCI) · anything at **FVTPL**

	Stage 1	Stage 2	Stage 3
Credit risk since initial recognition	No significant increase	**Significant increase**	**Credit-impaired**
Allowance	**12-month** ECL	**Lifetime** ECL	**Lifetime** ECL
Interest on	Gross carrying amount	Gross carrying amount	**Amortised cost** (net of allowance)

- → **Credit loss** = PV (at original EIR; credit-adjusted EIR for POCI) of **cash shortfalls** = contractual − expected cash flows, incl. collateral proceeds. Probability-weighted, time value, reasonable and supportable forward-looking info. Period = max **contractual** period incl. extensions.
- → **12-month ECL** = lifetime losses from defaults possible in the next 12 months — not cash shortfalls over 12 months.
- → **Simplified approach** (lifetime from day 1, no tracking): **mandatory** for trade receivables / contract assets **without a significant financing component**. **POCI** assets: only cumulative changes in lifetime ECL.
- → **30 days past due** → rebuttable presumption of significant increase. Indicators: credit spread, CDS prices, rating downgrades, adverse business/economic changes, covenant breaches expected, collateral or guarantee quality falls, parent support reduced.
- → **Credit-impaired** evidence: significant financial difficulty, default/past due, concession granted, probable bankruptcy, active market lost, bought at deep discount.

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Illus. 42 (PD approach): loan 10,00,000 × LGD 25% × 12-m PD 0.5% = **1,250**. **Illus. 43 (loss rate):** Group X loss 600 ÷ 2,00,000 = **0.3%**; Group Y 450 ÷ 3,00,000 = **0.15%**. **Illus. 44 (provision matrix):** receivables 3 crore — current 1.5 cr × 0.3% = 45,000; 1–30 days 75 lakh × 1.6% = 1,20,000; 31–60 40 lakh × 3.6% = 1,44,000; 61–90 25 lakh × 6.6% = 1,65,000; >90 10 lakh × 10.6% = 1,06,000 → **lifetime ECL 5,80,000**.

MCQ + 5–8 marks

11 Recognition & regular-way trades 109.3.1 · Unit 5

Contract	Recognise when
Receivables / payables	Entity becomes party to the contract (legal right/obligation)
Firm commitment to buy/sell goods	Not until one party performs (goods delivered) — unless designated FVTPL (net FV recognised on commitment date)
Forward · option	On commitment date (forward usually FV nil; option has a premium)
Planned future transaction	**Never**

- → ***Regular way*** = delivery within the market's normal time frame (e.g. T+2). Choose ***trade date*** or ***settlement date*** accounting, consistently per category. Applies to ***financial assets only***.
- → ***Settlement date***: buyer still records FV change between trade and settlement date like the asset — AC: none; FVTPL: P&L; FVOCI: OCI. Seller derecognises on settlement, ignores FV changes.
- → ***Illus. 3:*** bought 10,00,000 on 1 Jan; FV 10,50,000 on 4 Jan → AC: asset 10,00,000 (no gain); FVTPL: gain 50,000 P&L; FVOCI: 50,000 OCI — same under either date method.
- → ***Illus. 1:*** forward via a broker for listed shares in one month (market is 2 days) → ***not regular way*** → derivative, FV changes to P&L. ***Illus. 2:*** exchange-traded option with 7-day settlement under market rules → regular way.

12 Derecognition of financial assets — the flowchart 109.3.2 · B3.2.1

0. Consolidate subsidiaries first (incl. SPVs/trusts) — test at group level.

1. Apply to a ***part*** only if the part is: specifically identified cash flows (interest strip) · fully proportionate share (90% of all cash flows) · proportionate share of identified flows (90% of interest). ***Otherwise whole asset*** (first 90% of collections; 90% sold with an 8% loss guarantee — Illus. 5).

2. Rights to cash flows ***expired***? → derecognise. (Renegotiation can count: moratorium/extension, big rate cut, conversion right.)

3. Transferred the rights (sale, assignment, factoring)? — or a ***pass-through*** meeting all 3 conditions (pay only what is collected · can't sell/pledge the asset · remit without material delay, no reinvestment)? No → keep asset.

4. Transferred ***substantially all risks & rewards***? → ***derecognise***. Retained substantially all? → ***keep asset***, cash received = ***liability***.

5. Neither? → ***Control retained***? (Can the transferee ***practically sell*** the asset unilaterally to a third party?) No → derecognise. Yes → ***continuing involvement***.

Risks & rewards transferred → derecognise	Risks & rewards retained → keep asset
Unconditional sale · sale with repurchase at ***FV*** · right of first refusal at FV (Illus. 7) · put/call ***deep out of the money*** (Illus. 8–9) · ***without-recourse*** factoring (Illus. 11: receivables 10 lakh for 9 lakh, no recourse → derecognise, ***loss 1 lakh***)	Repo at ***fixed price or price + lender's return*** (same, substantially same, or substitutable asset) · securities lending · total return swap back to seller · put/call ***deep in the money*** · guarantee of ***likely*** credit losses on short-term receivables (full recourse)

- Call option **neither** deep in nor out, asset **readily available** in market → transferee can sell → control lost → **derecognise** (Illus. 9iii). Asset not traded / valuable put or guarantee held by transferee → control retained.
- **Pass-through (Illus. 6):** loan 100 cr to trust; investor pays 90 cr for 90% of collections, no guarantee → derecognise **90 cr**, keep **10 cr**.
- Short-term receivables: key risk = **credit risk**. Long-term: interest-rate and slow-payment risk.
- On derecognition: gain/loss = carrying amount − consideration (new assets at FV are part of consideration; liabilities assumed reduce it); **FVOCI debt** reserve recycled. Retained-risk case: liability at FV less costs, then AC.

ICAI ·

Illus. 12 (factoring with recourse — continuing involvement): receivables face 100 cr, carrying **95 cr**; factor pays 91.5 cr less service 1.5 cr = **90 cr**; C guarantees losses up to **5 cr** over expected 5 cr; guarantee FV 0.5 cr. Continuing involvement asset = lower of asset 95 and guarantee amount **5.5 cr** → 5.5 cr. Associated liability = guarantee 5 + FV 0.5 = **5.5 cr**. Entry: Cash Dr 90 · Loss Dr 5 · CI asset Dr 5.5 · To Receivables 95 · To Associated liability 5.5. The 0.5 cr guarantee is amortised to P&L.

13 Derecognition of financial liabilities 109.3.3 · B3.3

- Remove only when **extinguished** — paid, or **legally released** by law/creditor. Paying a third party to assume the debt **without** legal release → no derecognition. Released but guarantee given → new liability at FV of guarantee.
- Gain/loss = **carrying amount − consideration paid** (incl. non-cash assets/liabilities assumed) → P&L.
- Renegotiation **after year-end** (before approval) → gain/loss in the period it is **contractually agreed** (next year) — Illus. 13.

Example 3 — extinguishment (10% test met)	Example 4 — modification (10% test failed)
Bond 10 lakh, 10%, 10 yrs. After 5 yrs: extend to 7 more yrs, coupon 5%, redeem at **15 lakh**, fees **1 lakh**; market rate 11%. PV at **original 10%**: 7,69,737 + 2,43,421 + 1,00,000 = **11,13,158** vs 10,00,000 → **11.32%** → extinguish. New liability FV @11% = 7,22,487 + 2,35,610 = **9,58,097**. Loss = 10,00,000 − 9,58,097 − 1,00,000 = **(58,097)**. New EIR 11%.	Same bond. After 5 yrs: no more interest, redeem at **16 lakh** on original date, fee **50,000**. PV at 10%: 9,93,474 + 50,000 = **10,43,474** → **4.35%** → modification. Carrying 10,00,000 − fee 50,000 = **9,50,000**; new EIR **10.99%** → 1,04,405 / 1,15,879 / 1,28,614 / 1,42,749 / 1,58,353 → 16,00,000.

Two ways the SM handles a non-substantial modification of a liability: Unit 2 says re-discount at the **original EIR** and take the difference to P&L; Unit 5 Example 4 instead nets the fee and **resets the EIR** (no day-1 P&L), noting the standard isn't explicit. Follow what the question asks; if silent, state which approach you used.

Debt-for-equity swap Appendix D

- Shares issued to extinguish a liability: measure at **FV of shares**; if not reliable, at **FV of liability** extinguished. Difference vs carrying amount → **P&L**.
- Not applied if: creditor acts as an existing **shareholder**; common control with a distribution/contribution in substance; conversion is per the **original terms** (that's Ind AS 32 conversion).
- Part extinguished → allocate consideration; test remaining part for substantial modification.

MCQ + 5–8 marks

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Example 5: JK owes 90 cr (EIR 10%). 2/3 (60 cr) → 70% equity; FV net assets 80 cr → shares FV **56 cr** → **gain 4 cr**. Remaining 1/3 = 30 cr; revised terms PV at original EIR 25 cr (>10% change) → extinguish 30, new liability at FV **28 cr** → **gain 2 cr**.

14 Derivatives & embedded derivatives Unit 4

Derivative — all 3	Points / SM cases
(i) Value changes with an **underlying**	Rate, price, FX, index, credit rating; a non-financial variable must **not be specific to a party** (fire damage to own asset, residual value from condition → not derivative; city temperature index → OK).
(ii) **No / small** initial net investment	Prepaid **fixed leg** of swap (Illus. 1) → still derivative · prepaid **variable leg** (Illus. 2: pay 36 cr, receive 10 cr p.a.) → a loan, **not** derivative · **prepaid forward** at spot (Illus. 3) → not derivative.
(iii) Settled at a **future date**	Gross or net doesn't matter; option lapsing unexercised is also settlement (Illus. 5). Euro sales converted at fixed 80 → derivative with 2 underlyings (Illus. 4).

→ All derivatives at **FVTPL** unless a designated hedge. **Illus. 6:** gold bought, paid in shares worth the gold price at ₹10 each → variable shares → **derivative liability FVTPL**. **Illus. 7:** written call on Target's shares at ₹100 → derivative liability. **Illus. 8:** warrants to all shareholders at fixed ₹150 → derivative but **equity** (fixed-for-fixed).

→ **Own-use (Illus. 14 — oil seeds):** import contract, 30% net settled in practice → **derivative**. Domestic contract, only 1% net settled, delivery for processing → **own use**, executory. Exchange contract settled net → **derivative FVTPL**.

Embedded derivative = part of a hybrid contract with a **non-derivative host** that makes some cash flows vary like a derivative. Separately transferable or different counterparty → separate instrument, not embedded. Fixed annual increase of ₹3 m in rent → no underlying → none (Illus. 9).

Separate only if all: (1) host is **not** a financial asset in Ind AS 109 (FA hosts → classify whole thing, usually FVTPL if SPPI fails) · (2) **not closely related** to host · (3) a stand-alone instrument would be a derivative · (4) hybrid **not** at FVTPL.

Accounting: derivative at FV (FVTPL); host = **residual**. Non-option derivative separated at **FV nil**; option-based on stated terms (may have value). Can't measure → whole hybrid FVTPL; may elect FVTPL for whole hybrid (non-FA host). **No reassessment** unless terms change cash flows significantly.

Not closely related → separate	Closely related → don't separate
Debt with interest/principal indexed to **equity or commodity** (Illus. 10) · lease rent linked to **US inflation** for Indian parties (Illus. 11) · rent linked to **profit after tax** (Illus. 12) · FX in a currency that's nobody's functional currency and not routine (Illus. 15)	Inflation index of **own economic environment** · contingent rent based on **sales** · prepayment option with exercise price ≈ **amortised cost**, or reimbursing lost interest · FX in a party's functional currency, routinely used for that good (USD crude), or commonly used locally

→ **Illus. 13 (prepayment option):** 100 cr at 12%, 6 yrs, prepay with 3% penalty (103 cr); rate without option 11% → host AC 104.22 → 103.68, 103.09, 102.43, 101.70, 100.90. Differences +0.7%, +0.1%, −0.6%, −1.3%, −2.1% → policy decides "approximately equal" (e.g. >2% → separate).

→ **Illus. 15 (USD machine bought from Indian supplier):** USD 10 lakh, forward 67.8 at order → embedded forward FV nil. 30 Sep forward 67.5 → derivative asset **3,00,000** (P&L); 31 Dec spot 67.0 → further **5,00,000**. PPE at forward rate **6,78,00,000** = creditor 6,70,00,000 + derivative 8,00,000.

15 Hedge accounting Unit 6 · optional

Element	Rule
Hedged item	Recognised asset/liability, unrecognised **firm commitment**, **highly probable** forecast transaction, net investment in a foreign operation; whole item or a component (risk component, selected cash flows, part of nominal); reliably measurable.
Hedging instrument	Derivative at FVTPL (**not a net written option**) · non-derivative FA/FL at FVTPL (not an FVTPL liability with own-credit in OCI) · FX risk component of a non-derivative (not FVOCI equity). **External** party only. Whole instrument, except: intrinsic value only, spot element only, a **proportion** (e.g. 50%) — never a part of its life.
Qualifying criteria	Eligible items · formal **designation and documentation at inception** · effectiveness: **economic relationship**, credit risk does **not dominate**, **hedge ratio** = actual quantities (no deliberate imbalance).

Type	Hedges	Accounting
Fair value	FV changes of recognised item or firm commitment	Instrument gain/loss → **P&L**; hedged item adjusted for hedged risk → **P&L** (carrying amount adjusted). FVOCI equity hedged → both in **OCI**. Firm commitment → cumulative FV change recognised as asset/liability.
Cash flow	Variable cash flows (floating interest, forecast purchase/sale)	CFHR = **lower of** cumulative gain/loss on instrument and cumulative change in PV of hedged cash flows → effective part in **OCI**, rest (ineffective) → **P&L**. Later: non-financial asset bought → **basis adjustment** to its cost (not via OCI); others → recycle when hedged cash flows hit P&L; loss not recoverable → P&L at once.
Net investment	FX on net assets of foreign operation	Like cash flow: effective → **OCI (FCTR)**; ineffective → P&L; recycled on (partial) **disposal**.

16 Ind AS 107 disclosures — what to remember Unit 7

- **Objective:** users can evaluate (a) **significance** of financial instruments for position and performance, (b) **nature and extent of risks** and how they are managed.
- **Balance sheet:** carrying amounts by category (FVTPL designated / mandatory, AC assets, AC liabilities, FVOCI debt, FVOCI equity designated); FVTPL-designated items → credit-risk effect; FVOCI equity → which investments, why, FV, dividends, transfers within equity, disposals (reason, FV, cumulative gain/loss); **reclassifications** (date, BM change explanation, amounts; EIR and interest after leaving FVTPL); **offsetting** (gross, set-off, net); collateral; allowance for credit losses; defaults and breaches.
- **P&L:** net gains/losses per category, interest income/expense (EIR), fee income/expense, impairment.
- **Other:** accounting policies, hedge accounting, **fair value** by class (and FV hierarchy per Ind AS 113); **risks** — qualitative and quantitative for **credit**, **liquidity** (maturity analysis) and **market** risk (sensitivity analysis).

MCQ + 5–8 marks

17 Exam checklist

Classification Q: issuer's view → contractual obligation? own shares fixed-for-fixed? → liability / equity / compound.

Compound Q: PV at market rate without conversion → equity residual → costs pro rata → finance cost schedule → conversion (no gain) / early redemption (split at current rate).

Loan Q: net of fees → EIR by interpolation → schedule. Interest-free intra-group loan: demand = face; term = PV, difference = investment / equity contribution; "when funds" = estimate date.

Refinance Q: prepayment penalty + unamortised old fees → P&L; new fee → new EIR. Change of terms → 10% test at original EIR.

Asset Q: SPPI → BM → AC / FVOCI / FVTPL; equity FVOCI never recycles; ECL stage 1 = 12-month, 2 & 3 = lifetime; trade receivables = simplified (provision matrix).